

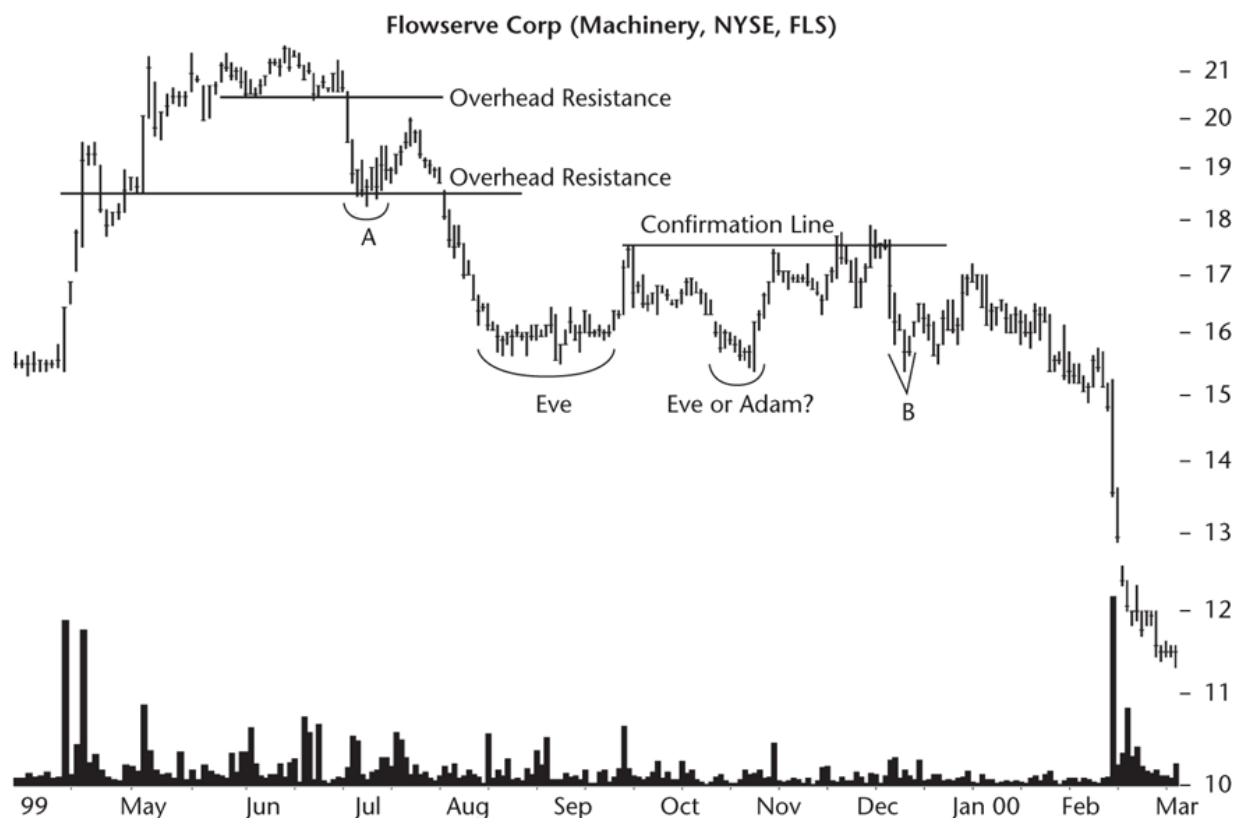


Figure 29.5 Is this an Eve & Eve bottom or an Eve & Adam bottom, and why did price fail to rise far?

The left Eve bottom most would argue is a true Eve bottom. It appears wide and rounded, not needle-sharp like an Adam bottom. What about the right bottom? No one- or two-day price spike appears. It does look V shaped if you consider the V as slanting to one side. Does it look like the Eve bottom at point A or the Adam bottom at point B? My computer says this double bottom is an Eve & Eve pattern.

Why did price not climb far after the breakout? I have highlighted two overhead resistance zones. The top one looks strong enough to turn back most advances (because it's wide and flat). The lower one is a solid block in late June (at A), but it's short. It extends back to April, but April is looser looking. Tighter is often better than loose (I measured this).

Before the April to August price bump, the stock was in a long-term decline. A block of horizontal price movement appeared at 17.50 that was 3 months long (not shown) if you include some minor lows. Thus, the reason